

# Final Mock Exam — Set B — Solutions

## Lectures 1–12 (comprehensive)

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# Overview of the final mock exam — Set B

| Problem  | Topic                           | Lecture slides                                  | Points |
|----------|---------------------------------|-------------------------------------------------|--------|
| P1       | Splines (beyond linearity)      | Chapter 7 — Moving Beyond Linearity (Lecture 9) | 16     |
| P2       | Generalised additive models     | Chapter 7 — Moving Beyond Linearity (Lecture 9) | 8      |
| P3       | Trees by hand                   | Chapter 8 — Tree-Based Methods (Lecture 10)     | 20     |
| P4       | Ensembles (bagging/RF/boosting) | Chapter 8 — Tree-Based Methods (Lecture 10)     | 16     |
| P5       | Neural networks by hand         | Chapter 10 — Deep Learning (Lecture 11)         | 20     |
| P6       | Multiple testing                | Chapter 13 — Multiple Testing (Lecture 12)      | 20     |
| P7       | Cumulative essentials           | Chapters 2–6 (Lectures 1–8)                     | 20     |
| $\Sigma$ |                                 |                                                 | 120    |

## Exam conditions

120 minutes for 120 points ( $\approx 1$  point per minute). Allowed aids: non-programmable calculator and one handwritten A4 sheet (both sides). All required constants (e-powers and logs) are given in the problems. Justify every answer.

# Problem 1 — task

## Problem 1 (16 P) — Moving beyond linearity: splines

*Lecture slides: Chapter 7 — Moving Beyond Linearity (Lecture 9).*

Throughout: regression splines on a single predictor  $X$  with  $K = 5$  interior knots.

- (a) [4 P] Degrees of freedom of a cubic spline with  $K$  interior knots — justify by counting parameters and constraints; evaluate for  $K = 5$ .
- (b) [4 P] Degrees of freedom of a *natural* cubic spline with  $K = 5$  knots; which extra constraint acts where, and why is it useful?
- (c) [4 P] Smoothing spline  $\sum_i (y_i - g(x_i))^2 + \lambda \int g''(t)^2 dt$ : role of the two terms; behaviour of  $\hat{g}$  as  $\lambda \rightarrow 0$  and  $\lambda \rightarrow \infty$ .
- (d) [4 P] Truncated-power basis of a cubic spline with one knot  $\xi$ ; define  $(x - \xi)_+^3$ ; why does adding it keep the fit smooth at  $\xi$ ?

## Problem 1 — solution (a) and (b)

### Solution P1 — (a) and (b)

**(a)**  $K$  knots  $\Rightarrow K + 1$  cubic pieces  $\times 4$  coefficients  $= 4K + 4$  parameters; continuity of  $g$  and  $g'$  and  $g''$  at each knot  $\Rightarrow 3K$  constraints:

$$\text{df} = 4(K + 1) - 3K = K + 4 \quad \Rightarrow \quad K = 5 : \text{df} = 9.$$

(Equivalently: basis  $1, x, x^2, x^3$  plus one truncated power per knot,  $4 + K$ .)

**(b)** Natural spline: *linear beyond the boundary knots* (regions  $X < \xi_1$  and  $X > \xi_K$ ); killing the quadratic and cubic terms there costs 2 parameters per boundary region, 4 in total:

$$\text{df} = (K + 4) - 4 = K \quad \Rightarrow \quad K = 5 : \text{df} = 5.$$

*Why useful:* splines are most erratic near the boundaries where data are sparse; the linearity constraint stabilises the fit there (lower variance for a little extra bias).

# Problem 1 — solution (c) and (d)

## Solution P1 — (c) and (d)

(c) RSS term = fidelity to the data;  $\lambda \int g''(t)^2 dt$  penalises curvature (wiggleness);  $\lambda$  trades the two off.

- $\lambda \rightarrow 0$ : no penalty  $\Rightarrow \hat{g}$  *interpolates* the training points exactly — extremely wiggly, zero training RSS, severe overfitting (effective df  $\rightarrow n$ ).
- $\lambda \rightarrow \infty$ : curvature infinitely expensive  $\Rightarrow g'' \equiv 0 \Rightarrow \hat{g}$  is the *least-squares straight line* (effective df  $\rightarrow 2$ ).

$\lambda$  (chosen by LOOCV) steers the effective df smoothly between  $n$  and 2.

(d)  $f(x) = \beta_0 + \beta_1 x + \beta_2 x^2 + \beta_3 x^3 + \beta_4 (x - \xi)_+^3$  with

$$(x - \xi)_+^3 = \begin{cases} (x - \xi)^3 & x > \xi \\ 0 & x \leq \xi \end{cases}$$

$(x - \xi)_+^3$  has value and first and second derivative 0 at  $\xi \Rightarrow$  only the third derivative jumps: the fit stays continuous with continuous  $g'$  and  $g''$  — a cubic spline.

## Problem 2 — task

### Problem 2 (8 P) — Generalised additive models

*Lecture slides: Chapter 7 — Moving Beyond Linearity (Lecture 9).*

- (a) [3 P] General form of a GAM for quantitative  $Y$ ; how does it generalise multiple linear regression?
- (b) [3 P] One interpretability advantage concerning the  $f_j$ ; the main structural limitation — and its repair.
- (c) [2 P] Backfitting in one or two sentences.

## Problem 2 — solution

### Solution P2 — GAMs

**(a)**  $Y = \beta_0 + f_1(X_1) + f_2(X_2) + \dots + f_p(X_p) + \varepsilon$ .

Linear regression is the special case  $f_j(X_j) = \beta_j X_j$ ; a GAM replaces each linear term by a smooth non-linear  $f_j$  (spline, local regression) but keeps the *additive* structure.

**(b)** *Advantage*: additivity  $\Rightarrow$  the effect of each  $X_j$  is its own function  $f_j$ , which can be plotted and interpreted individually while the other predictors are held fixed — one panel per predictor, as readable as a coefficient table.

*Limitation*: no *interactions* — the effect of  $X_j$  cannot depend on  $X_k$ .

*Repair*: add interaction components manually, e.g.  $X_j \times X_k$  or a two-dimensional smooth  $f_{jk}(X_j, X_k)$ .

**(c)** *Backfitting*: cycle through  $j = 1, \dots, p$  and re-fit each  $f_j$  to the partial residuals  $r_i = y_i - \beta_0 - \sum_{k \neq j} f_k(x_{ik})$  with all other functions held fixed; repeat until convergence.

## Problem 3 — task

### Problem 3 (20 P) — Trees by hand

*Lecture slides: Chapter 8 — Tree-Based Methods (Lecture 10).*

Delivery vans  $x$  and parcels/day  $y$  (1,000s) for  $n = 6$  depots; one split at  $s$ :  $R_1 = \{x < s\}$  and  $R_2 = \{x \geq s\}$  with region-mean predictions.

| $i$   | 1  | 2  | 3  | 4  | 5  | 6  |
|-------|----|----|----|----|----|----|
| $x_i$ | 10 | 12 | 14 | 16 | 18 | 20 |
| $y_i$ | 6  | 4  | 5  | 11 | 13 | 12 |

(a) **[8 P]** Evaluate the cutpoints  $s = 15$  and  $s = 17$  by total RSS; which is chosen? (b) **[2 P]** Prediction for a new depot with  $x = 13$ . (c) **[6 P]** Node with 12 obs: 6 “Premium” / 3 “Standard” / 3 “Basic”: proportions; Gini; entropy ( $\ln 0.5 = -0.6931$ ;  $\ln 0.25 = -1.3863$ ); predicted class. (d) **[4 P]** Cost-complexity pruning: role of  $\alpha$  in  $\sum_m \sum_{i \in R_m} (y_i - \hat{y}_{R_m})^2 + \alpha |T|$ .



## Problem 3 — solution (a) and (b)

### Solution P3 — (a) and (b)

(a) Region means and RSS per cutpoint ( $\bar{y} = 51/6 = 8.5$ , root RSS = 77.5):

| $s$ | $R_1$ (y-values) | $\hat{y}_{R_1}$ | $R_2$ (y-values) | $\hat{y}_{R_2}$ | total RSS         |
|-----|------------------|-----------------|------------------|-----------------|-------------------|
| 15  | {6,4,5}          | 5               | {11,13,12}       | 12              | $2 + 2 = 4$       |
| 17  | {6,4,5,11}       | 6.5             | {13,12}          | 12.5            | $29 + 0.5 = 29.5$ |

Details:  $s = 15$ :  $(6 - 5)^2 + (4 - 5)^2 + (5 - 5)^2 = 2$ ;  $(11 - 12)^2 + (13 - 12)^2 + (12 - 12)^2 = 2$ .

$s = 17$ :  $(6 - 6.5)^2 + (4 - 6.5)^2 + (5 - 6.5)^2 + (11 - 6.5)^2 = 0.25 + 6.25 + 2.25 + 20.25 = 29$ ;  $0.25 + 0.25 = 0.5$ .

Greedy recursive binary splitting picks the smaller RSS:  $s = 15$  ( $4 \ll 29.5$ ) — it separates the three low-throughput depots (mean 5) from the three high ones (mean 12).

(b)  $x = 13 < 15 \Rightarrow$  region  $R_1 \Rightarrow \hat{y} = \hat{y}_{R_1} = 5$  (i.e. 5,000 parcels per day).

## Problem 3 — solution (c) and (d)

### Solution P3 — (c) and (d)

(c)  $\hat{p}_{\text{Prem}} = 6/12 = 0.5$ ;  $\hat{p}_{\text{Std}} = \hat{p}_{\text{Basic}} = 3/12 = 0.25$ .

$$G = 0.5(1 - 0.5) + 0.25(1 - 0.25) + 0.25(1 - 0.25) = 0.25 + 0.1875 + 0.1875 = 0.625$$

$$D = -(0.5 \ln 0.5 + 0.25 \ln 0.25 + 0.25 \ln 0.25) = 0.5 \cdot 0.6931 + 0.5 \cdot 1.3863 = 0.3466 + 0.6931 = 1.040$$

Predicted class: majority = **Premium** (estimated probability 0.5). Both measures are 0 for a pure node — this node is quite impure (three classes present).

(d)  $\alpha$  = price per terminal node  $|T|$ :

- $\alpha = 0$ : criterion = training RSS  $\Rightarrow$  full tree  $T_0$  is optimal.
- $\alpha \uparrow$ : leaves must pay for themselves; branches with small RSS gain are pruned  $\Rightarrow$  nested sequence of ever smaller subtrees (weakest-link pruning).
- Choice: *cross-validation* over  $\alpha$ ; refit the chosen subtree on all data — balances bias against variance.

## Problem 4 — task

### Problem 4 (16 P) — Ensembles

*Lecture slides: Chapter 8 — Tree-Based Methods (Lecture 10).*

- (a) [6 P]  $B$  identically distributed trees with variance  $\sigma^2$  and pairwise correlation  $\rho$ :  
 $\text{Var}\left(\frac{1}{B} \sum_b \hat{f}_b(x)\right) = \rho\sigma^2 + \frac{1-\rho}{B}\sigma^2$ . (i) Why does this show variance reduction and what limits it? (ii) Evaluate for  $B = 500$  and  $\rho = 0.7$  and  $\sigma^2 = 4$ ; compare with one tree. (iii) Limit as  $B \rightarrow \infty$ ?
- (b) [4 P] Random forests: modification at each split; recommended  $m$  for classification with  $p = 36$ ; why does it improve on bagging (use the formula)?
- (c) [4 P] Boosting: the three tuning parameters; the slow-learning idea.
- (d) [2 P] What does the OOB error estimate and why is it free?

## Problem 4 — solution (a) and (b)

### Solution P4 — (a) and (b)

(a) (i) Averaging drives the second term  $\frac{1-\rho}{B}\sigma^2 \rightarrow 0$  (the independent part of the trees' variability); the first term  $\rho\sigma^2$  is independent of  $B$  — correlation between bootstrap trees limits the reduction.

(ii)  $\text{Var} = 0.7 \cdot 4 + \frac{1-0.7}{500} \cdot 4 = 2.8 + 0.0024 = 2.802$  vs.  $\sigma^2 = 4$  for a single tree ( $\approx 30\%$  less).

(iii)  $B \rightarrow \infty$ : variance  $\rightarrow \rho\sigma^2 = 2.8$  (floor; more trees never overfit, they only stabilise).

(b) At *each split* only a random subset of  $m$  of the  $p$  predictors may be used; classification default  $m \approx \sqrt{p}$   
 $\Rightarrow p = 36$ :  $m = \sqrt{36} = 6$ .

With bagging a dominant predictor tops nearly every tree  $\Rightarrow$  trees alike  $\Rightarrow \rho$  high. Restricting candidates *decorrelates* the trees ( $\rho \downarrow$ ), which lowers the floor  $\rho\sigma^2$  — the part of the variance that averaging alone cannot remove.

## Problem 4 — solution (c) and (d)

### Solution P4 — (c) and (d)

(c) Boosting for regression trees:

- $B$  — **number of trees**: added sequentially; too many  $\Rightarrow$  slow overfitting; choose by CV.
- $\lambda$  — **shrinkage** (e.g. 0.01 or 0.001): scales each new tree's contribution; smaller  $\lambda \Rightarrow$  slower learning  $\Rightarrow$  larger  $B$  needed.
- $d$  — **splits per tree** (interaction depth): complexity and interaction order of each tree; often stumps ( $d = 1$ ) suffice (additive model).

*Slow learning*: each tree is fitted to the current *residuals* and only the fraction  $\lambda$  is added — the model improves gradually exactly where it still errs, instead of fitting the data hard at once; this tends to generalise better.

(d) Each bootstrap sample misses  $\approx 1/3$  of the observations (out-of-bag); predicting every observation only with trees that never saw it yields the **OOB error** — a valid *test-error* estimate, free as a by-product of the bootstrap (no validation set or CV loop needed).

## Problem 5 — task

### Problem 5 (20 P) — Neural networks by hand

*Lecture slides: Chapter 10 — Deep Learning (Lecture 11).*

Input  $x = (2,1)$ ; hidden ReLU units  $g(z) = \max\{0,z\}$ ; linear output:

$$A_1 = g(-2 + 3x_1 - 1x_2) \quad A_2 = g(1 - 2x_1 + 1x_2) \quad f(x) = -1 + 2A_1 + 3A_2$$

- (a) **[8 P]** Forward pass step by step: pre-activations;  $A_1$  and  $A_2$ ; output  $f(x)$ . What did the ReLU do to unit 2 and why are non-linear activations essential?
- (b) **[6 P]** Logits  $z = (2.0, 1.0, -1.0)$ ; true class 1: all three softmax probabilities and the cross-entropy loss ( $e^2 = 7.389$ ;  $e^1 = 2.718$ ;  $e^{-1} = 0.368$ ;  $\ln 10.475 = 2.349$ ).
- (c) **[4 P]** Parameter count of a  $p = 6 \rightarrow k = 4 \rightarrow K = 3$  network with biases (show both layers).
- (d) **[2 P]** Conv layer:  $32 \times 32$  input;  $F = 5$ ;  $P = 0$ ;  $S = 1$ : output size via  $(W - F + 2P)/S + 1$ .

## Problem 5 — solution (a) forward pass

### Solution P5 — (a) forward pass

Pre-activations:

$$z_1 = -2 + 3 \cdot 2 - 1 \cdot 1 = 3$$

$$z_2 = 1 - 2 \cdot 2 + 1 \cdot 1 = -2$$

ReLU activations:

$$A_1 = \max\{0, 3\} = 3$$

$$A_2 = \max\{0, -2\} = 0$$

Output:

$$f(x) = -1 + 2 \cdot 3 + 3 \cdot 0 = 5$$

The ReLU *switched unit 2 off*: its negative pre-activation is clipped to 0, so it contributes nothing for this input (though it can for others).

*Why essential*: with a linear  $g$  the whole network collapses into one linear function of  $x$  regardless of depth — the non-linearity is what lets hidden layers build flexible functions (piecewise-linear surfaces with ReLU).

## Problem 5 — solution (b) softmax and cross-entropy

### Solution P5 — (b) softmax and cross-entropy

Exponentials and their sum:

$$e^{2.0} = 7.389 \quad e^{1.0} = 2.718 \quad e^{-1.0} = 0.368 \quad \Rightarrow \quad 7.389 + 2.718 + 0.368 = 10.475$$

Softmax probabilities:

$$\hat{p}_1 = \frac{7.389}{10.475} = 0.705 \quad \hat{p}_2 = \frac{2.718}{10.475} = 0.259 \quad \hat{p}_3 = \frac{0.368}{10.475} = 0.035$$

(sum = 0.999  $\approx$  1  $\checkmark$ ). Cross-entropy for true class 1:

$$-\ln \hat{p}_1 = -\ln \frac{e^2}{10.475} = -(2 - \ln 10.475) = 2.349 - 2 = 0.349$$

Sanity checks: a perfect prediction ( $\hat{p}_1 = 1$ ) gives loss 0; predicting the uniform  $1/3$  would give  $\ln 3 \approx 1.099$  — here the network is right and fairly confident.



## Problem 5 — solution (c) and (d)

### Solution P5 — (c) parameters and (d) convolution

(c) Fully connected  $6 \rightarrow 4 \rightarrow 3$  with biases:

| Layer                       | Weights          | Biases | Parameters |
|-----------------------------|------------------|--------|------------|
| input $\rightarrow$ hidden  | $6 \cdot 4 = 24$ | 4      | 28         |
| hidden $\rightarrow$ output | $4 \cdot 3 = 12$ | 3      | 15         |
| total                       |                  |        | 43         |

(d) Output width =  $\frac{W - F + 2P}{S} + 1 = \frac{32 - 5 + 2 \cdot 0}{1} + 1 = 27 + 1 = 28 \Rightarrow$  output feature map  $28 \times 28$ :  
with no padding ( $P = 0$ ) a  $5 \times 5$  filter at stride 1 shrinks each spatial dimension by  $F - 1 = 4$ .

## Problem 6 — task

### Problem 6 (20 P) — Multiple testing

*Lecture slides: Chapter 13 — Multiple Testing (Lecture 12).*

- (a) **[4 P]**  $m = 10$  independent tests at  $\alpha = 0.05$ ; all nulls true: define and compute the FWER  $((0.95)^{10} = 0.5987)$ ; interpret.
- (b) **[7 P]** Six ordered  $p$ -values 0.002; 0.009; 0.012; 0.015; 0.040; 0.300 — FWER control at  $\alpha = 0.05$  with (i) Bonferroni and (ii) Holm; thresholds; rejected hypotheses; why is Holm never weaker than Bonferroni?
- (c) **[6 P]** Benjamini–Hochberg at  $q = 0.05$  on the same  $p$ -values: thresholds  $jq/m$ ; rejections; what exactly does FDR control guarantee?
- (d) **[3 P]** Confirmatory Phase-III trial with  $m = 4$  pre-specified endpoints (one hit could support approval): FWER or FDR? Justify.

## Problem 6 — solution (a) FWER

### Solution P6 — (a) FWER for 10 independent tests

$\text{FWER} = \Pr(V \geq 1)$  — the probability of *at least one* false rejection among the  $m$  tests ( $V$  = number of falsely rejected true nulls).

With all 10 nulls true and independent tests at level 0.05:

$$\text{FWER} = 1 - \Pr(\text{no false rejection}) = 1 - (1 - 0.05)^{10} = 1 - (0.95)^{10} = 1 - 0.5987 = 0.4013$$

*Interpretation:* although each test individually errs with probability 5% only, the chance of at least one spurious “discovery” among 10 unadjusted tests is about 40% — multiple testing without adjustment makes false findings very likely.

## Problem 6 — solution (b) Bonferroni and Holm

### Solution P6 — (b) Bonferroni and Holm at level 0.05

**Bonferroni:** reject iff  $p_{(j)} \leq \alpha/m = 0.05/6 = 0.00833$ : only 0.002 passes ( $0.009 > 0.00833$ )  $\Rightarrow$  reject  $H_{(1)}$ : **1 rejection**. (Note  $0.009 < 0.05$  yet Bonferroni does not reject it.)

**Holm (step-down):** compare  $p_{(j)}$  with  $\alpha/(m - j + 1)$ ; stop at first failure:

| $j$                  | 1       | 2      | 3      | 4      | 5           | 6      |
|----------------------|---------|--------|--------|--------|-------------|--------|
| $p_{(j)}$            | 0.002   | 0.009  | 0.012  | 0.015  | 0.040       | 0.300  |
| $\alpha/(m - j + 1)$ | 0.00833 | 0.0100 | 0.0125 | 0.0167 | 0.0250      | 0.0500 |
| decision             | ✓       | ✓      | ✓      | ✓      | <b>stop</b> | —      |

$0.015 \leq 0.0167$  but  $0.040 > 0.0250 \Rightarrow$  reject  $H_{(1)}$  to  $H_{(4)}$ : **4 rejections**.

**Holm  $\supseteq$  Bonferroni:** Holm's hurdles  $\alpha/(m - j + 1) \geq \alpha/m$  for all  $j$  (equality only at  $j = 1$ )  $\Rightarrow$  uniformly more powerful — and it still controls the FWER without independence assumptions.

## Problem 6 — solution (c) and (d)

### Solution P6 — (c) Benjamini–Hochberg and (d) FWER vs FDR

(c) Thresholds  $jq/m = j \cdot 0.05/6$ :

| $j$                  | 1       | 2      | 3      | 4      | 5          | 6      |
|----------------------|---------|--------|--------|--------|------------|--------|
| $p_{(j)}$            | 0.002   | 0.009  | 0.012  | 0.015  | 0.040      | 0.300  |
| $jq/m$               | 0.00833 | 0.0167 | 0.0250 | 0.0333 | 0.0417     | 0.0500 |
| $p_{(j)} \leq jq/m?$ | yes     | yes    | yes    | yes    | <b>yes</b> | no     |

Largest such  $j$ :  $L = 5$  ( $0.040 \leq 0.0417$ ; note  $0.300 > 0.0500$ )  $\Rightarrow$  reject *all* of  $H_{(1)}$  to  $H_{(5)}$ : **5 rejections**.  
*Guarantee*:  $\text{FDR} = E[V/\max(R,1)] \leq q$  — *on average* at most 5% of rejected hypotheses are false discoveries (no bound on  $\Pr(V \geq 1)$ ; that is FWER).

(d) Control the **FWER**. A *single* false positive is very costly (could support approving an ineffective drug), so guard against *any* Type I error, not just their average proportion. With only  $m = 4$  endpoints an FWER procedure (Holm/Bonferroni at  $0.05/4 = 0.0125$ ) loses little power; FDR is too permissive for a confirmatory trial.

## Problem 7 — task

### Problem 7 (20 P) — Cumulative essentials

*Lecture slides: Chapters 2–6 (Lectures 1–8).*

- (a) **[4 P]** Screening confusion matrix ( $TP=40$ ,  $FN=10$ ,  $FP=30$ ,  $TN=120$ ): error rate, sensitivity, specificity, precision; which number traces the ROC curve and how do sensitivity/specificity move?
- (b) **[4 P]** KNN: (i) predict at  $x_0 = 5$  with  $k = 3$  from  $(1,3)$ ,  $(4,6)$ ,  $(6,8)$ ,  $(7,7)$ ,  $(10,12)$ ; (ii) how  $k$  drives the bias–variance trade-off; most flexible extreme; why is 1-NN training error 0?
- (c) **[4 P]**  $k$ -fold CV: what it does; one reason over LOOCV; one over a single validation split.
- (d) **[2 P]**  $p = 2,000$  predictors, only a handful matter: ridge or lasso? Where does PCR sit?
- (e) **[6 P]** Match {linear regression; lasso; logistic regression; random forest} — each once: (i) \$/schooling-year with CI; (ii) BP from 8,000 genes ( $n=150$ ) with a short gene list; (iii) spam yes/no with odds for auditors; (iv) machine failure from interacting sensors, accuracy only.

## Problem 7 — solution (a) and (b)

### Solution P7 — (a) confusion matrix and (b) KNN

(a) 50 diseased, 150 healthy,  $n = 200$ :

$$\text{err} = \frac{30+10}{200} = 0.200 \quad \text{sens} = \frac{40}{50} = 0.800 \quad \text{spec} = \frac{120}{150} = 0.800 \quad \text{prec} = \frac{40}{70} = 0.571$$

Varying the *classification threshold* traces the ROC curve: lowering it raises sensitivity (fewer misses) but lowers specificity (more false alarms); raising it reverses.

(b) (i) Distances from  $x_0 = 5$ : 4, 1, 1, 2, 5; nearest three  $x = 4, 6, 7$  with  $y = 6, 8, 7 \Rightarrow \hat{y}(5) = \frac{6+8+7}{3} = 7$ .  
(ii) Small  $k$  = flexible: low bias, high variance; large  $k$  = smooth: high bias, low variance. Most flexible extreme =  $k = 1$  (flexibility  $\propto 1/k$ ). The training error of 1-NN is 0 because each point's nearest neighbour is *itself*.

## Problem 7 — solution (c) and (d)

### Solution P7 — (c) cross-validation and (d) lasso vs ridge/PCR

(c)  $k$ -fold CV splits the data into  $k$  equal folds; each fold serves once as validation while the other  $k - 1$  train the model, and the  $k$  errors are averaged.

- vs. *LOOCV*: the  $n$  leave-one-out fits are nearly identical  $\Rightarrow$  their errors are highly correlated  $\Rightarrow$  the LOOCV average has *higher variance* (and costs  $n$  fits).
- vs. *a single split*: one split is highly variable and biased upward (only part of the data trains);  $k$ -fold trains on  $(k - 1)/k$  and averages  $k$  estimates  $\Rightarrow$  less bias, more stability.

(d) **Lasso**: the  $\ell_1$  penalty sets coefficients *exactly to zero*  $\Rightarrow$  variable selection; ideal for a sparse truth (a handful of signals among 2,000) and an interpretable model. Ridge keeps all 2,000; PCR is likewise *not* sparse (regresses on a few components, all variables load) — neither delivers lasso's short list.



## Problem 7 — solution (e) matching

### Solution P7 — (e) method matching (each once)

- (i) **Linear regression** — quantitative response with  $n \gg p$ ; goal is *inference*: an effect size with a confidence interval from OLS standard errors.
- (ii) **Lasso** —  $p = 8,000 \gg n = 150$ : OLS infeasible; the  $\ell_1$  penalty regularises and returns a short list of relevant markers.
- (iii) **Logistic regression** — binary response; coefficients give odds ratios  $e^{\hat{\beta}_j}$ : interpretable for auditors.
- (iv) **Random forest** — automatic non-linearities and interactions; strong accuracy with many mixed predictors; interpretability not required.

#### One-line rule of thumb

Inference on few predictors  $\rightarrow$  linear/logistic regression; sparse high-dimensional selection  $\rightarrow$  lasso; pure predictive accuracy with complex structure  $\rightarrow$  random forest.